

# SENATE . . . . . No. 2261

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## The Commonwealth of Massachusetts

PRESENTED BY:

***William J. Driscoll, Jr.***

*To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:*

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act achieving a green future with infrastructure and workforce investments.

PETITION OF:

| NAME:                           | DISTRICT/ADDRESS:                        |                 |
|---------------------------------|------------------------------------------|-----------------|
| <i>William J. Driscoll, Jr.</i> | <i>Norfolk, Plymouth and Bristol</i>     |                 |
| <i>Joanne M. Comerford</i>      | <i>Hampshire, Franklin and Worcester</i> | <i>3/6/2025</i> |
| <i>Manny Cruz</i>               | <i>7th Essex</i>                         | <i>3/6/2025</i> |

# SENATE . . . . . No. 2261

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By Mr. Driscoll, a petition (accompanied by bill, Senate, No. 2261) of William J. Driscoll, Jr., Joanne M. Comerford and Manny Cruz relative to achieving a green future with infrastructure and workforce investments. Telecommunications, Utilities and Energy.

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[SIMILAR MATTER FILED IN PREVIOUS SESSION  
SEE HOUSE, NO. 3693 OF 2023-2024.]

## The Commonwealth of Massachusetts

\_\_\_\_\_  
In the One Hundred and Ninety-Fourth General Court  
(2025-2026)  
\_\_\_\_\_

An Act achieving a green future with infrastructure and workforce investments.

*Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:*

1           SECTION 1. Section 3 of chapter 25A of the Massachusetts General Laws, as appearing  
2           in the 2012 Official Edition, is hereby amended by inserting the following definitions:-

3           “Environmental justice population,” a definition established in chapter 30. If none shall  
4           exist the secretary of the executive office of energy and environmental affairs in consultation  
5           with appropriate departments, shall establish such a definition with criteria that includes; median  
6           household income, and minority status.

7           “Environmental justice council,” an advisory committee of the same name, established in  
8           chapter 30. If no such body exists, one shall be established and consist of not less than 9, but not  
9           more than 15, members appointed by the governor, who shall designate a chair.

“Environmental justice principles”, principles that support protection from environmental pollution and the ability to live in and enjoy a clean and healthy environment, regardless of race, color, income, class, handicap, gender identity, sexual orientation, national origin, ethnicity or ancestry, religious belief or English language proficiency, which includes: (i) the meaningful involvement of all people with respect to the development, implementation and enforcement of environmental laws, regulations and policies, including climate change policies; and (ii) the equitable distribution of energy and environmental benefits and environmental burdens.

“Revenue commissioner,” the commissioner of the department of revenue

“Secretary,” The secretary of the executive office of energy and environmental affairs.

“Quintile 1 household,” a household with an annual gross income below the quintile 1 income limit, as defined in this section.

“Quintile 1 income limit,” an amount that is greater than the annual household gross incomes of no more or less than 20 per cent of households in the state, as determined and updated annually by the commissioner of revenue.

“Quintile 2 household,” a household with an annual gross income above the quintile 1 income limit, but below the quintile 2 income limit, as defined in this section.

“Quintile 2 income limit,” an amount that is greater than the annual household gross incomes of no more or less than 40 per cent of households in the state, as determined and updated annually by the commissioner revenue.

SECTION 2. Chapter 25A of the General Laws, as so appearing, is hereby amended by inserting after section 13 the following section:-

31           25A:13A Green Infrastructure Fund

32           (a) There shall be established on the books of the commonwealth a separate fund to be  
33 known as the Green Infrastructure Fund, to be administered by the secretary. The secretary may  
34 assign responsibility for administering portions of the funds and plans to state agencies, regional  
35 authorities, municipal governments, or other public institutions outside its authority. None of the  
36 proceeds shall fund government operations of the commonwealth, other than to pay for  
37 reasonable administrative costs as provided under subsection (g) of this section.

38           (b) The secretary shall deposit into the fund all proceeds collected by any market-based  
39 mechanism under clause (ii) of subsection (a) of section 7 of chapter 21N that remain after initial  
40 distribution to the household green dividend fund, under section 13C of chapter 25A. The  
41 secretary shall deposit into the fund all proceeds collected by market-based mechanisms under  
42 clause (iii) and clause (iv) of subsection (a) of section 7 of chapter 21N that remain after initial  
43 distribution to the following funds, as applicable; (i) the household green dividend fund,  
44 established under section 13C of chapter 25A; (ii) the green workforce development and training  
45 fund, established under section 13B of chapter 25A; and (iii) the Massachusetts local climate  
46 crisis trust fund, established under chapter 25D.

47           (c) (1) The Green Infrastructure Fund shall support investments that facilitate, directly or  
48 indirectly, reductions of greenhouse gas emissions. Eligible projects shall include but not be  
49 limited to: (i) investments in public transit, low carbon buses and trucks, electric vehicles,  
50 electric vehicle charging infrastructure, and other modes of clean transportation; (ii) transit-  
51 oriented affordable housing; (iii) expansion of in-state renewable energy, battery storage, and  
52 community microgrids; (iv) energy efficiency, electrification, and renewable energy investments

in housing, municipal infrastructure and public school buildings; (v) technology research, development, and commercialization program; and (vi) clean energy and climate change investments in rural communities.

(2) Other eligible projects may include those currently established and administered by a state agency, including, but not limited to: (i) the Mass Save program; (ii) grid-level power storage through the Massachusetts clean energy center's advancing commonwealth energy storage program; (iii) battery storage through department of public utilities battery rebate program; (iv) support for the development of offshore wind workforces, local supply chains, adequate port infrastructure and advanced research and innovation; and (v) continued marketing development aimed at technology commercialization for building decarbonization.

(d) (1) A committee known as the green infrastructure fund board shall be created, consisting of 18 members. The secretary shall serve as a member and the chair of the green infrastructure fund board, with 14 other members chosen by the governor representing: (i) the department of transportation; (ii) the department of environmental protection; (iii) the department of energy resources; (iv) the department of housing and community development; (v) the massachusetts clean energy center; (vi) the environmental justice council; (vii) organized labor; (viii) large commercial/industrial business; (ix) small business community; (x) low-income residents; (xi) clean energy industry; (xii) youth, with the member being 25 years of age or younger; and (xiii) two separate representatives from regional planning associations representing different regions of the state.

(2) The green infrastructure fund board shall also consist of 1 member of the public chosen by the speaker of the house of representatives, 1 member of the public chosen by the president of the state senate, and 1 member chosen by the state treasurer.

(e) No later than January 1st, 2024, and subsequently every 3 years, the secretary, in consultation with the green infrastructure fund board, shall develop and issue a 3 year plan for expenditure of the Green Infrastructure Fund funds, which shall be made available to the public within 7 days of completion.

(f) The secretary shall submit an annual report to the appropriate committees of the general court on the status of projects funded under this bill and their outcomes, which shall also be made available to the public within 7 days. Administering agencies and public institutions shall report to the secretary, and the secretary shall include in the report, a description of how the administering agencies have fulfilled legislative requirements under this section.

(g) The Green Infrastructure Fund shall be administered by the secretary using no more than 3½ per cent of Green Infrastructure Fund proceeds to cover administrative costs, including but not limited to, support from expert consultants, technical assistance to municipal governments and regional agencies, or program outreach.

(h) Priority disbursements shall be awarded to projects that concur with investment principles established by the green infrastructure fund board, in consultation with the public.

(i) Within a given calendar year, the secretary shall allocate a minimum of 60 per cent of invested monies to projects that are directly located within and provide meaningful benefits to environmental justice populations.

(j) All construction, reconstruction, alteration, installation, demolition, maintenance or repair paid through the Green Infrastructure Fund shall be subject to Massachusetts General Law Chapter 149 Sections 26 to 27F inclusive, Massachusetts General Law Chapter 149 Section 29, Massachusetts General Law Chapter 30 Section 39M, and Massachusetts General Law Chapter 30 Sections 61 through 62L, inclusive.

(k) No later than January 1st, 2024, and subsequently every 3 years, the secretary, in consultation with the environmental justice council and the public, shall submit to the legislature and make public a report that includes: (i) measurable criteria that administering entities of monies disbursed from the Green Infrastructure Fund must report for some or all of a project to be considered directly located within, and providing direct and meaningful benefits to, environmental justice populations; (ii) procedures for administering entities of the monies disbursed from the Green Infrastructure Fund to follow in order to determine what portion of a project's expenditures are directly located within, and providing direct and meaningful benefits to, environmental justice populations; and (iii) other requisite procedures for administering entities of the monies disbursed from the Green Infrastructure Fund to follow in order to adhere to environmental justice principles.

SECTION 3. The General Laws, as so appearing, is hereby amended by inserting after Chapter 25C the following chapter:-

**Chapter 25D: LOCAL CLIMATE CRISIS INVESTMENTS ACT**

Section 1. This chapter shall be known and may be cited as the Local Climate Crisis Investments Act.

115           Section 2. As used in this chapter, the following words shall, unless the context clearly  
116 indicates a different meaning, have the following meanings:—

117           “Executive office,” the executive office of energy and environmental affairs.

118           “Fund”, the Local Climate Crisis Fund established in this chapter.

119           “Trust fund”, the Massachusetts Local Climate Crisis Trust Fund established in this  
120 chapter.

121           “Jurisdiction”, a city, town, or municipality in the commonwealth. May also include a  
122 regional combination of adjacent or coordinated municipalities established under section 3 of this  
123 chapter, with the approval of the secretary.

124           "Local green investment", a project within the geographic boundaries of a town or city,  
125 approved by a majority vote of the local climate crisis council, that is eligible to be financially  
126 supported under section 11 of this chapter.

127           “Local climate crisis council”, the committee established by the legislative body of a city  
128 or town to make recommendations for local green investments, as provided in section 4 of this  
129 chapter.

130           “Local Climate Crisis Fund", the municipal fund established under section 5 of this  
131 chapter.

132           "Legislative body", the agency of municipal government which is empowered to enact  
133 ordinances or by-laws, adopt an annual budget and other spending authorizations, loan orders,  
134 bond authorizations and other financial matters and whether styled as a city council, board of  
135 aldermen, town council, town meeting or by any other title.



136 “Secretary,” the secretary of the executive office of energy and environmental affairs.

137 “Massachusetts Local Climate Crisis Trust Fund”, a state fund established by section 7  
138 overseen by the secretary of the executive office of energy and environmental affairs.

139 “Regional climate crisis council,” the committee established by the legislative body of  
140 multiple cities or towns to make recommendations for local green investments, as provided in  
141 section 4 of this chapter. Also referred to as the regional council.

142 Section 3. Sections 3 to 6, inclusive, shall take effect in any city or town upon the  
143 approval by the legislative body as set forth in this chapter. Notwithstanding the provisions of  
144 any other general or special law to the contrary, the legislative body may vote to accept sections  
145 3 to 6, inclusive. The legislative body shall notify the secretary of its acceptance, and confirm its  
146 compliance with sections 3 to 6 annually.

147 Section 4. (a) A city or town that accepts sections 3 to 6, inclusive, shall establish by  
148 ordinance or by-law a local climate crisis council. The council shall consist of not less than five  
149 nor more than eleven members. The ordinance or by-law shall determine the composition of the  
150 council, the length of its term and the method of selecting its members, whether by election or  
151 appointment or by a combination thereof. In establishing ordinance or by-law, a city or town  
152 may consider allowing the council to recommend a municipal bond issuance, notwithstanding  
153 the provisions of any other general or special law to the contrary. A city or town should consider  
154 combining the duties and responsibilities of the council with any existing municipal committee,  
155 if it meets the requirements laid out in this chapter.

156 (b) Multiple adjacent cities or towns, with approval from each city or town’s legislative  
157 body and the secretary, may designate themselves a jurisdiction for the purposes of this chapter.

Such a jurisdiction shall designate one regional climate crisis council to represent the cities or towns within said region, and shall combine the designated funds from multiple cities or towns into one Local Climate Crisis Fund administered by the secretary, operating under similar guidelines set forth in section 5 of this chapter. A regional council and its member municipalities are subject to sections 3 to 6, inclusive, unless otherwise determined by the secretary in order to allow for the proper and efficient administration of this chapter on a regional basis.

(c) In selection of members of the council, due consideration shall be made in achieving proportional representation on the basis of the socioeconomic, racial, age, and gender demographics within the city or town, as determined by the most recent decennial census conducted by the United States Census Bureau. At least 1 member of the council shall be a resident under the age of 22 years of age. Should the council represent a jurisdiction containing one or more environmental justice populations, then the council shall include, at a minimum, a proportion of members representing environmental justice populations in the jurisdiction equal to within 15 per cent of the greater of: (i) the proportion of the jurisdiction's population who live in an environmental justice population; or (ii) the proportion of the jurisdiction's Local Climate Crisis Fund allocated for environmental justice populations, as determined under section 8.

(d) The council shall make recommendations to the legislative body for use of funds designated part of the Local Climate Crisis Fund for the city or town, under section 6 of this chapter.

(e) The council, incorporating applicable guidance from the secretary, shall ensure that decisions made regarding local green investments be done following public input that shall include, but is not limited to, hearings, and some combination of forums, surveys, or social

media. The council shall meet no less than 4 times a year. The council shall consult with relevant municipal officials working in planning, conservation, schools, or sustainability in making spending recommendations. Due consideration shall be given to funding proposals benefiting environmental justice populations.

(f) The council may include in its recommendation to the legislative body a request to set aside for later spending funds for specific purposes that are consistent with the definition of a local green investment but for which sufficient revenues are not then available in the Local Climate Crisis Fund to accomplish that specific purpose or to set aside for later spending funds for general purposes that are consistent with the local green investment goals of the council. In making recommendations, the council shall consider: (i) combining funds with other sources of revenue; (ii) coordinating with other municipalities in purchasing, or in making other investments whose impacts may benefit multiple cities or towns; (iii) matching local green investment funds with other state or federal grants; or (iv) using funds originating from a city or town capital budget, including municipal bonding. The legislative body shall not spend funds from the Local Climate Crisis Fund without approval by the council.

(g) The council shall not meet or conduct business without the presence of a quorum. A majority of the members of the local climate crisis council shall constitute a quorum. The council shall approve its actions by majority vote. Recommendations to the legislative body shall include their anticipated costs.

(h) After receiving recommendations from the local climate crisis council, the legislative body shall take such action and approve such appropriations from the Local Climate Crisis Fund as set forth in section 5, and such additional non-Local Climate Crisis Fund appropriations as it

considers appropriate to carry out the recommendations of the council. In the case of a city, the ordinance shall provide for the mechanisms under which the legislative body may approve or veto appropriations made under this chapter, under the city charter.

(i) The local community climate council shall report by source to the executive office, on an annual basis, all amounts credited to, and all expenditures from, the Local Climate Crisis Fund. The executive office shall establish standard criteria and format for the annual report.

Section 5. (a) Notwithstanding the provisions of section 53 of chapter 44 or any other general or special law to the contrary, a city or town that accepts sections 3 to 6, inclusive, shall establish a separate account to be known as the Local Climate Crisis Fund of which the municipal treasurer shall be the custodian. The authority to approve expenditures from the fund shall be limited to the legislative body and the municipal treasurer shall pay such expenses under chapter 41. Unused funds shall remain in the Local Climate Crisis Fund, and shall not automatically revert to the general fund of the city or town at the end of each fiscal year.

(b) The following monies shall be deposited in the fund: (i) all funds received from the commonwealth or any other source for such purposes; and (ii) additional funds appropriated or dedicated from allowable municipal sources referenced under subsection (f) of section 4. The treasurer may deposit or invest the proceeds of the fund in savings banks, trust companies incorporated under the laws of the commonwealth, banking companies incorporated under the laws of the commonwealth which are members of the Federal Deposit Insurance Corporation or national banks, or may invest the proceeds in paid up shares and accounts of and in co-operative banks or in shares of savings and loan associations or in shares of federal savings and loan associations doing business in the commonwealth or in the manner authorized by section 54 of

chapter 44 of the General Laws, and any income therefrom shall be credited to the fund. The expenditure of revenues from the fund shall be limited to implementing the recommendations of the local climate crisis council and providing administrative and operating expenses to the council.

Section 6. (a) Funds made available by the Local Climate Crisis Fund for a city or town shall be made available exclusively for a purpose of funding all or part of a local green investment, as defined by the secretary, through a process outlined in section 11 of this chapter. Whenever possible, funds shall prioritize investments in the area within a city or town designated as an environmental justice population, if such a community exists.

(b) At the discretion of the secretary, and upon determination of a violation of this section, funds not used for the purpose of local green investments shall be returned to the Massachusetts Local Climate Crisis Trust Fund or future disbursements from the trust fund to the city or town may be reduced by an amount considered appropriate by the secretary.

Section 7. (a) There shall be established and set up on the books of the commonwealth a separate fund, to be known as the Massachusetts Local Climate Crisis Trust Fund, for the benefit of cities and towns that have accepted sections 3 to 6, inclusive. The secretary shall deposit into the trust fund 30 per cent of all proceeds collected by market-based mechanisms under clause (iii) and clause (iv) of subsection (a) of section 7 of chapter 21N, as well as any other funding sources including, but not limited to, state government bonding. The trust fund shall be governed according to section 9 of this chapter.

(b) The state treasurer shall deposit the Massachusetts Local Climate Trust Fund under the provisions of section 8 in such manner as will secure the highest interest rate available

consistent with the safety of the trust fund and with the requirement that all amounts on deposit be available for withdrawal without penalty for such withdrawal at any time. All interest accrued and earnings shall be deposited into the trust fund. The trust fund shall be expended solely for the administration and implementation of this chapter. Any unexpended balances shall be redeposited for future use consistent with the provisions of this chapter.

(c) The state treasurer shall make all disbursements and expenditures from the Massachusetts Local Climate Trust Fund without further appropriation, as directed by the secretary under section 8. The secretary shall report by source all amounts credited to the trust fund and all expenditures from the trust fund. The secretary shall assign personnel of the department as it may need to administer and manage the trust fund disbursements and any expense incurred by the department shall be considered an operating and administrative expense of the program. The operating and administrative expenses shall not exceed 5 per cent of the annual total revenue received under the provisions of subsection (a) of this section.

Section 8. (a) The secretary shall annually on or before November 15th disburse monies from the trust fund established in section 7 to a jurisdiction that has: (i) accepted sections 3 to 6, inclusive; (ii) notified the secretary of its acceptance; and (iii) whose acceptance has been considered sufficient to meet the obligations set forth in sections 3 to 6. The jurisdiction shall notify the secretary of the date and all terms on which the legislative body accepted said sections 3 to 6, inclusive, no later than October 1st to ensure eligibility for funding in the coming year.

(b) The secretary shall disburse 60 per cent of the amount available in the trust fund, after any disbursements for operating and administrative expenses under subsection (c) of section 7 or programmatic expenses under section 10, in a first round distribution known as the standard

distribution. The secretary shall determine the standard distribution in several steps. The first step shall be to divide this amount by the total population of all cities and towns, as determined by the most recent decennial census conducted by the United States Census Bureau, who have notified the secretary of acceptance and whose acceptance has been considered sufficient. The second step shall be to distribute to each city or town accepting the sections 3 to 6, inclusive, an amount equal to the population of the city or town multiplied by the amount calculated under step one.

(c) The secretary shall further divide the remaining 40 per cent of the trust fund in a second round distribution, known as the environmental justice distribution. The secretary shall determine the environmental justice distribution in several steps. The first step shall be to divide the remaining 40 per cent of monies available in the trust fund by the total number of residents in Massachusetts who reside in a census block group that is both (i) defined as an environmental justice population, under General Law, and (ii) within a jurisdiction whose legislative body has accepted sections 3 to 6, inclusive and whose acceptance has been considered sufficient by the secretary. The second step shall be to distribute to each city or town an amount equal to the amount calculated under step one of this paragraph multiplied by the total population of the city or town that resides in a census block group defined as an environmental justice population.

(d) The secretary shall determine each participant's total state grant by adding the amount received in the first round distribution with the amounts received in any later round of distributions.

(e) After distributing the Massachusetts local climate crisis trust fund under this section, the secretary shall keep any remaining funds in the trust for distribution in the following year.

(f) For the purpose of establishing the representation of environmental justice populations on local climate crisis councils under section 4, a percentage of each jurisdiction's Local Climate Crisis Fund is considered allocated for environmental justice populations. This percentage is calculated as follows; (i) the annual monies allocated to the jurisdiction's Local Climate Crisis Fund as a standard distribution, under subsection (b) or this section, is multiplied by the percentage of the jurisdiction's population that resides within an environmental justice population; (ii) the amount calculated under clause (i) of this subsection is added to the annual monies allocated to the jurisdiction as an environmental justice distribution, under subsection (c) of this section; and (iii) the percentage of the jurisdiction's Local Climate Crisis Fund allocated for environmental justice populations is calculated as the sum derived from clause (ii) of this subsection, divided by the total annual monies allocated to that jurisdiction's Local Climate Crisis Fund under section 8.

Section 9. The Massachusetts Local Climate Crisis Trust Fund established under section 7 of this chapter shall be administered by the secretary and the executive office in accordance with sections 7 and 8 of this chapter.

Section 10. (a) The secretary shall assign personnel of the executive office as it may need to administer and manage program implementation. The programmatic, operating and administrative expenses shall not exceed 500,000 dollars, and shall be received under the provisions of said section 8, or otherwise appropriated, and be under the direction of the secretary under this chapter.



(b) The executive office shall provide technical assistance and guidance to cities and towns with the goal of assisting them in selecting local green investments that reflect the preference of the community, meet state climate change goals, and maximize local job creation.

(c) To the end specified in subsection (b) of this section, the council may do all of the following: (i) establish training and best practice guidelines for seeking public input on local green investments; (ii) sponsor conferences, symposia, or other public forums with the goal of seeking a broad range of public advice regarding local and regional resource planning, sustainable development, and strategies to reduce greenhouse gas emissions and mitigate against the impacts of climate change; (iii) provide technical guidance specific to investment options for gateway cities, rural communities, or all municipalities, including those with an environmental justice population; and (iv) create a list of project types and existing state programs that would meet the definition of a local green investment for a given calendar year.

(d) The secretary shall prioritize jurisdictions that contain environmental justice populations and rural communities when providing outreach, technical assistance, and implementation under this section.

Section 11. (a) The secretary shall determine the definition of a local green investment for the purpose of this chapter. The definition shall balance the following criteria: (i) be sufficiently broad so to allow a participating city or town the flexibility in determining a project considered necessary to achieving local climate or environmental goals; (ii) where possible, shall be consistent with the stated greenhouse gas emissions limits of the commonwealth of Massachusetts; (iii) shall be defined to allow funding for projects relating to climate mitigation,

as well as climate adaptation and climate resilience; and (iv) shall include a requirement of public input into the making of a spending recommendation from a local climate crisis council.

(b) The definition shall be published no later than December 1st of the year prior to its effective date, and shall come with a non-exhaustive list of project types and existing state programs that meet the definition for the upcoming calendar year. The secretary shall amend the definition every 2 to 5 years.

SECTION 4. Chapter 25A of the General Laws, as so appearing, is hereby amended by inserting after section 13 the following section:-

25A:13B Green Workforce Commission

(a) There shall be established on the books of the commonwealth a separate fund to be known as the Next Generation Green Workforce Fund. The secretary shall deposit a number equal to or greater than 1 per cent but equal to or less than 3 per cent of proceeds collected by market-based mechanisms under clause (iii) and clause (iv) of subsection (a) of section 7 of chapter 21N.

(b) Governance: The green workforce commission shall be created, consisting of a total of 9 members: 2 members who shall be chosen by the governor, including at least one member representing an environmental justice population, 1 member of the public chosen by the speaker of the house of representatives, and 1 member of the public chosen by the president of the state senate. Further, 5 members shall be appointed by the president of the Massachusetts AFL-CIO, including 4 who meet the following criteria: 1 of whom shall have expertise in the building and construction trades; 1 of whom shall have expertise in the utility sector; 1 of whom shall represent workers in sectors that may be displaced through advancements in green technologies

and emissions reduction; and 1 of whom shall represent workers in the public or private services sector. A representative from the Massachusetts clean energy center and any other relevant agency may serve as a non-voting advisory member of the commission. Members shall make all decisions regarding use and maintenance of the Next Generation Green Workforce Fund.

(c) The Next Generation Green Workforce Fund shall ensure that workers displaced due to emission reductions and advancements in green technology have immediate access to training and employment opportunities in green technology and next generation utilities or related fields. Whenever possible, the green workforce commission shall focus on providing employment that provides comparable working conditions, benefits, living wages, union representation, or job protections. Funds shall be used to establish education, training, and support for displaced workers and those seeking to enter the green economy, including, but limited to, consideration of: (i) education in affected sectors with benefits, wages, and working conditions similar in type, amount, and duration to previous employment; (ii) the education of dislocated workers, in collaboration with employers of dislocated workers and the relevant labor unions; (iii) the establishment and structure of a set-aside fund to assist displaced workers, as outlined in subsection (f) of this section, including a workforce transition plan for facility closures and loss of employment; and (iv) the expansion of existing programs and development of new programs to provide educational and training programs for residents of Massachusetts in clean energy and the green economy, including serves aimed at benefiting formerly and currently incarcerated individuals.

(d) The commission shall appoint an executive director by a majority vote. The executive director shall supervise the administrative affairs and general management and operations of the commission and also serve as secretary of the commission, ex officio. The executive director

shall receive a salary commensurate with the duties of the office. The executive director may, with the approval of the commission, appoint other officers and employees of the commission necessary to the functioning of the commission. The total annual cost of all salaries, benefits, operating and administrative expenses paid by commission out of the Next Generation Green Workforce Fund shall not exceed 500,000 dollars.

(e) The green workforce commission shall identify those workers currently working in the energy and related construction and utility sectors, their current wage and benefits packages, and their current training requirements and regularly maintain, update, and make publicly available those standards.

(f) A portion of the Next Generation Green Workforce Fund, not below 20 per cent annually, shall be allocated to the Rapid Response Set-Aside Fund, that is part of the Next Generation Green Workforce Fund. The Rapid Response Set-Aside Fund shall be administered under the direction and discretion of the green workforce commission, and solely for the purpose of providing assistance to workers and communities experiencing displacement, loss of tax revenue, or other forms of economic loss due to the shrinkage of fossil fuel industries and related industries. Unused monies designated in a given year to the Rapid Response Set-Aside Fund shall be saved for use in future years.

(g) The governor and general court may recommend, under Article LXIII of the Amendments to the Constitution, additional monies to be appropriated to the Next Generation Green Workforce Fund to fulfil duties specified in this section.

SECTION 5. Chapter 25A of the General Laws, as so appearing, is hereby amended by inserting after section 13 the following section:

25A:13C Household Green Dividend Fund

(a) (1) There shall be established on the books of the commonwealth a separate fund to be known as the Household Green Dividend Fund. None of the proceeds shall fund government operations of the commonwealth, other than to pay for reasonable administrative costs, provided they do not exceed 5 per cent of total revenue collected by market-based mechanisms under clause (ii) through clause (iv) of subsection (a) of section 7 of chapter 21N, inclusive.

(2) The secretary shall deposit, on an annual basis, no more than 50 per cent of total revenue collected by market-based mechanisms under clause (ii) and clause (iii) of subsection (a) of section 7 of chapter 21N into the Household Green Dividend Fund. This amount must be sufficient for the revenue commissioner to fulfill all requirements of the Household Green Dividend Fund under this section, with any request of an annual amount over 50 per cent made under paragraph (4) of this subsection.

(3) The revenue commissioner shall disburse Household Green Dividend Fund proceeds directly to households, such that: (i) on an annual basis, no less than 95 per cent of quintile 1 households shall receive payments greater than their expected increase in energy-related costs from market-based mechanisms established under clause (iii) of subsection (a) of section 7 of chapter 21N; (ii) on an annual basis, quintile 2 households shall, on average, receive payments equal to or greater than the expected increase in energy-related costs from market-based mechanisms established under clause (iii) of subsection (a) of section 7 of chapter 21N; and (iii) on an annual basis, quintile 1 households and quintile 2 households shall receive sufficient payments so as to mitigate, or avoid altogether, any disproportionate and unreasonable financial

burden that would otherwise be imposed by market-based mechanisms established under clause (ii) of subsection (a) of section 7 of chapter 21N.

(4) The secretary may deposit greater than 50 per cent of total revenue collected by market-based mechanisms under clause (ii) and clause (iii) of subsection (a) of section 7 of chapter 21N into the Household Green Dividend Fund, provided that; (i) the governor, in consultation with the secretary, submits a formal request to the legislature that states the alternate amount to deposit into the Household Green Dividend Fund; and (ii) the legislature formally approves the amount requested by a majority vote of the members of the senate and house of representatives of the general court.

(5) In providing payments, the revenue commissioner shall coordinate with officials of the executive office of energy and environmental affairs, the executive office of health and human services, the executive office of housing and economic development and other agencies in making all reasonable efforts to identify the names and location of residency of all residents, with special attention to the names and locations of low-income, homeless, and undocumented residents so that they can receive payments expeditiously.

(b) Within 90 days of the conclusion of each calendar year, the secretary, in consultation with the revenue commissioner, shall submit a report that confirms the required outcomes established under subsection (a) of this section have been met for that calendar year.

(c) (1) the revenue commissioner shall do at least one of the following: (i) provide payments to individuals in quintile 1 households and quintile 2 households in advance of the annual heating season; (ii) distribute part or all of the annual expected value of the payments to quintile 1 households and quintile 2 households prior to collecting greenhouse gas charges in

year one, using bond funding authorized under subsection (a) of section 13D of chapter 25A; or  
(iii) otherwise set schedules and methods for distribution of payments that ensure quintile 1  
households and quintile 2 households obtain payments corresponding to the time schedule in  
which they can be expected to be paying for most charges established under section 7 of chapter  
21N.

(2) Notwithstanding any general or special law to the contrary, payments distributed  
under this section shall not be counted as income for the purposes of state tax liability or  
determining eligibility for state programs with income limitations. To the degree possible, said  
payments shall not count as income for the purposes of federal tax liability or income limitations  
for federal programs.

SECTION 6. (a) Chapter 21N is hereby further amended by striking out section 7, as so  
appearing, and inserting in place thereof the following section:

Section 7. (a) The secretary shall promulgate regulations establishing market-based  
compliance mechanisms for the: (i) electricity sector, (ii) transportation sector, (iii) residential,  
commercial, and institutional heating sectors, and (iv) industrial sector; provided, however, that  
the regulations shall, at a minimum, address fuel combustion and significant other sources of  
greenhouse gas emissions associated with industrial processes. The secretary may promulgate  
regulations establishing said market-based compliance mechanisms across multiple sectors  
concurrently.

(b) Market-based compliance mechanisms established under this section shall be  
designed to: (i) maximize the ability of the commonwealth to achieve the statewide greenhouse  
gas emissions limits established under this chapter; (ii) ensure that the commonwealth achieves

the required emissions reductions equitably and in a manner that protects and, where feasible, improves the condition of low-income and moderate-income persons and residents of environmental justice populations; (iii) measurably reduces the emissions of toxic air contaminants, black carbon, and criteria air pollutants, including, but not limited to, emissions of nitrogen oxides, sulfur dioxide, and mercury; (iv) identify manufacturing sectors, economic sectors, and other economic subsectors at risk of adverse impacts due to such mechanisms and mitigate said impacts to the extent possible; (v) address the distinguishing characteristics and vulnerabilities of rural, suburban and urban households; and (vi) maximize additional environmental and economic benefits for the commonwealth, as appropriate.

(c) The executive office and the department may work with the participating regional greenhouse gas initiative states, other interested states and Canadian provinces to develop a plan to expand market-based compliance mechanisms such as the regional greenhouse gas initiative to other sources and sectors necessary or desirable to facilitate the achievement of the statewide greenhouse gas emissions limits.

(d) The secretary may adopt regulations governing the use of market-based compliance mechanisms by regulated entities subject to the statewide greenhouse gas emissions limits and mandatory report requirements to achieve compliance with such limits.

(e) The executive office shall monitor compliance with and enforce any rule, regulation, order, emissions limit, emissions reduction measure or market-based compliance mechanism adopted by the secretary or department under this chapter. The department may impose a civil administrative penalty under section 16 of chapter 21A for a violation of any rule, regulation,



order, emissions limit, emissions reduction measure or other measure adopted by the secretary under this chapter.

(f) The secretary shall study the feasibility of imposing and collecting additional greenhouse gas emission charges on emissions attributable to biomass. The report shall include: (i) an analysis of the feasibility of calculating a reasonably accurate current statistical baseline, specific to the commonwealth, of such emissions; and (ii) a recommendation on the best means for implementing emissions charges on biomass. Within 9 months of the effective date of this act, the secretary shall submit the report to the public, as well as the house and senate committees on ways and means, the joint committee on telecommunications, utilities, and energy, and the house and senate committees on global warming and climate change.

(g) The department may, in consultation with the secretary, impose an additional schedule of fees on regulated sources of greenhouse gas emissions sufficient to recover, for each fiscal year, the administrative and implementation costs of chapter 21N. Revenues collected under this section shall be deposited in a Global Warming Solutions Act Implementation Fund for use, as directed by the legislature or the secretary, solely for the purpose of carrying out chapters 21N.

SECTION 7. Chapter 25A of the General Laws, as so appearing, is hereby amended by inserting after section 13 the following section:

25A:13D Green Investment & Infrastructure Bonding Program

(a) (1) To meet any immediate expenditures necessary in carrying out sections 13A through 13C of chapter 25A, inclusive, or chapter 25D, the state treasurer, upon the request of the governor and no later than January 1st 2024, may issue and sell bonds of the commonwealth

as hereinafter provided in this subsection. The amount of the bonds is to be specified but not exceeding in the aggregate 500,000,000 dollars within a given fiscal year.

(2) Any such bonds used for purposes outlined in section 13A of chapter 25A shall be special obligations of the commonwealth first from monies credited to the Green Infrastructure Fund established said section 13A of chapter 25A; provided, however, that notwithstanding any general or special law to the contrary, including without limitation section 60A, such bonds shall also become general obligations of the commonwealth if the funds from the Green Infrastructure Fund established in said section 13A are insufficient to cover bond repayment.

(3) Any such bonds used for purposes outlined in section 13B or 13C of chapter 25A or chapter 25D shall be considered general obligations of the commonwealth.

(4) Bonds established by this subsection may be issued in such manner and on such terms and conditions as the state treasurer may determine under this paragraph and, to the extent not inconsistent with this paragraph, the General Laws for the issuance of bonds of the commonwealth. Bonds may be secured by a trust agreement entered into by the state treasurer, with the concurrence of the secretary of administration and finance and the secretary of energy and environmental affairs, on behalf of the commonwealth, which trust agreement may pledge or assign all or any part of monies credited to the Green Infrastructure Fund and rights to receive the same, whether existing or coming into existence and whether held or thereafter acquired, and the proceeds thereof. The state treasurer may, with the concurrence of the secretary of administration and finance and the secretary of energy and environmental affairs, enter into additional security, insurance or other forms of credit enhancement which may be secured on a parity or subordinate basis with the bonds. A pledge in any such trust agreement or credit

528 enhancement agreement shall be valid and binding from the time such pledge shall be made  
529 without any physical delivery or further act, and the lien of such pledge shall be valid and  
530 binding against all parties having claims of any kind in tort, contract or otherwise, whether such  
531 parties have notice thereof or not. Any such pledge shall be perfected by filing of the trust  
532 agreement or credit enhancement agreement in the records of the state treasurer and no filing  
533 need be made under chapter 106. Any such trust agreement or credit enhancement agreement  
534 may establish provisions defining defaults and establishing remedies and other matters relating to  
535 the rights and security of the holders of the bonds or other secured parties as determined by the  
536 state treasurer, including provisions relating to the establishment of reserves, the issuance of  
537 additional or refunding bonds, whether or not secured on a parity basis, the application of  
538 receipts, monies or funds pledged under such agreement, the regulation of the custody,  
539 investment and application of monies and such other matters considered necessary or desirable  
540 by the state treasurer for the security of such bonds. Any such bonds shall be considered to be  
541 investment securities under chapter 106, securities in which any public officer, fiduciary,  
542 insurance company, financial institution or investment company may properly invest funds and  
543 securities which may be deposited with any public custodian for any purpose for which the  
544 deposit of bonds is authorized by law. Any such bonds, the transfer of such bonds and the  
545 income from such bonds, including profit on the sale of such bonds, shall at all times be exempt  
546 from taxation by and within the commonwealth. The provisions of this section relating to bonds  
547 shall also be applicable to the issuance of notes insofar as such provisions may be appropriate for  
548 such notes.

549 (5) In order to increase the marketability of any such bonds or notes issued by the  
550 commonwealth and in consideration of the acceptance of payment for any such bonds or notes,

the commonwealth covenants with the purchasers and all subsequent holders and transferees of any such bonds or notes that while any such bond or note shall remain outstanding, and so long as the principal of or interest on any such bond or note shall remain unpaid: (i) no pledged funds shall be diverted from the Green Infrastructure Fund; (ii) in any fiscal year of the commonwealth and until an appropriation has been made which is sufficient to pay the principal, including sinking fund payments, of and interest on all such bonds and notes of the commonwealth and to provide for or maintain any reserves, additional security, insurance or other forms of credit enhancement required or provided for in any trust agreement securing any such bonds or notes, no pledged funds shall be applied to any other use; and (iii) so long as such revenues are necessary, as determined by the state treasurer under any applicable trust agreement or credit enhancement agreement, for the purposes for which they have been pledged, and notwithstanding any general or special law to the contrary, the rates of the fees collected under sections 33 and 34 of chapter 90 and of the excises imposed in chapters 64A, 64E and 64F shall not be reduced below the amount in effect at the time of issuance of any such bond or note.

(b) (1) All special or general obligation revenue bonds issued under subsection (a) shall be designated on their face, Massachusetts Green Recovery Bond, and shall be issued for a maximum term of years, not exceeding 30 years, upon the recommendation of the governor; provided, however, that all such bonds shall be payable not later than June 30, 2062.

(2) All interest and payments on account of special obligations established under authority of subsection (a) shall be payable first from the Green Infrastructure Fund under section 13A of chapter 25A, and thereafter as a general obligation of the commonwealth. Such bonds shall not be included in the computation of outstanding bonds for purposes of the limit imposed by the second paragraph of section 60A of said chapter 29 and the debt service with

respect to such bonds shall not be included in the computation of the limit imposed by section 60B of said chapter 29.

(3) In deciding whether to request the issuance of particular bonds as special obligations, the governor shall take into account: (i) generally prevailing financial market conditions; (ii) the impact of each approach on the overall capital financing plans and needs of the commonwealth; (iii) any ratings assigned to outstanding bonds of the commonwealth and any ratings expected to be assigned by any nationally-recognized credit rating agency to the bonds proposed to be issued; and (iv) any applicable provisions of a trust agreement or credit enhancement agreement entered into under said section 2O of said chapter 29.

(d) (1) To meet additional expenditures necessary in carrying out section 13A of chapter 25A or chapter 25D, the state treasurer, either upon request of the governor or either house of the general court, and upon a vote of the yeas and nays of a majority of each house of the the general court present and voting on such authorization, shall issue and sell bonds of the commonwealth in an amount to be specified but not exceeding in the aggregate 500,000,000 dollars within a given fiscal year.

(2) All bonds issued by the commonwealth under this subsection shall be designated on their face, Massachusetts Green Investment Bond, and shall be issued for a maximum term of years, not exceeding 30 years, as the governor may recommend to the general court under section 3 of Article LXII of the Amendments to the Constitution.

(3) All such bonds shall be payable not later than June 30, 2080. Bonds and interest thereon issued under this section shall be general obligations of the commonwealth. All requests made under this subsection shall be made prior to August 1, 2050.

596           SECTION 8. (a) The regulations required under clause (ii) and clause (iii) of subsection  
597 (a) of section 7 of chapter 21N of the General Laws shall be promulgated and in effect not later  
598 than July 1, 2023.

599           (b) The regulations required under clause (iv) of subsection (a) of section 7 of chapter  
600 21N of the General Laws shall be promulgated and in effect not later than July 1, 2025.